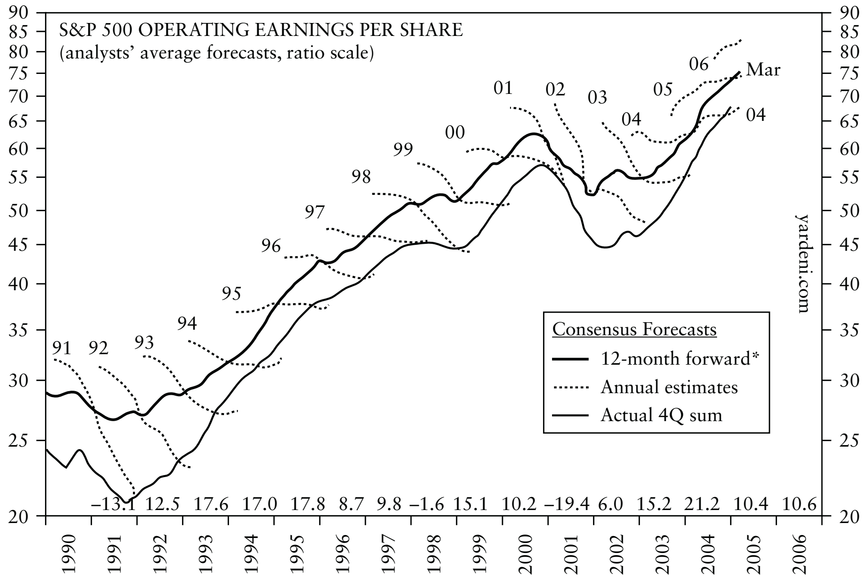

FIGURE 6.2 Analysts Are Systematically Overoptimistic
Source: Roy Batchelor. 2007 "Bias in Macroeconomic Forecasts," *International Journal of Forecasting* 23 2, pp. 189–203, April–June 2007.

This failure to account for mean reversion is endemic in forecasting. In *The Fortune Sellers: The Big Business of Buying and Selling Predictions*,[46] William Sherden examined research about the accuracy of short-term macro-economic forecasts (fewer than three years into the future) conducted since the 1970s. Sherden found that economists, like the financial analysts in Batchelor's research, also missed turning points in the economy. Their forecasting was no better than a "naïve forecast" that the near future would look like the recent past, and their ability to forecast accurately was, on average, no better than flipping a coin. The economists were engaged in naïve extrapolation, just like the naïve investors of Lakonishok et al.'s research. Sherden also found that the economists' predictions tended to be too optimistic. Tellingly, increased sophistication—more powerful computers, more arcane models, and mountains of historical data—had not improved the accuracy of their forecasts. There is no evidence that their ability has increased since the 1970s (if anything, the evidence is that it has deteriorated over time).[47] In their analysis of forecasts published in *The Wall Street Journal* between 1985 and 2001, the U.S. Federal Reserve also found that economists tended to miss turning points.[48] The forecasts were most accurate in the middle of an economic expansion, when the near future most closely resembles the